



The Storage Revolution in Chile: Regulatory Design, Investment and Wholesale Market Effects

Within 24 months, Chile went from negligible grid-scale storage to more than 2 GW of battery energy storage systems (BESS) in commercial operation. It did so four years ahead of its official 2030 target and without recourse to fiscal subsidies. Installed capacity now stands at approximately 3 GW, with a further ~5 GW under construction, and projections indicate more than 10 GW by 2030, a volume comparable to a substantial share of the system's peak demand. This presentation examines the drivers behind this deployment and draws lessons for other power systems.

The catalyst was a problem characteristic of renewable-rich systems. With installed solar and wind capacity at roughly 1.4 times peak demand, around 6 TWh of renewable energy was curtailed in 2025, while evening prices continued to be set by fossil-fuelled generation. The policy response was primarily regulatory and rested on three elements: a 2022 law that recognises storage as a distinct asset class, entitled to stack energy-arbitrage and capacity payments; a duration-based capacity accreditation scheme, financed through the reallocation of an existing capacity-payment pool rather than through new charges to consumers; and nearly two decades of consistent energy policy across successive administrations, which has underpinned investor confidence and lowered the cost of capital. The effects on the wholesale market are already apparent: day-night price spreads are compressing, evening ramps are softening, and the universe of bankable projects has expanded.

The presentation also discusses where the framework has fallen short, notably storage deployed as a regulated transmission or distribution asset, and behind-the-meter applications. It then addresses the outstanding challenges, including the recalibration of a capacity mechanism worth approximately USD 1 billion per year and the effective pass-through of wholesale-market gains to end consumers. It concludes with lessons for emerging markets and other systems facing comparable challenges.

Speaker Bio

Rodrigo Moreno is an academic at Universidad Adolfo Ibáñez (UAI), Chile, with appointments in the Faculty of Engineering and Sciences and the Business School, where he directs the Energy Engineering Programme. He is Director of ENLACE, a regional energy centre focused on Latin American and Caribbean energy policy, and leads the Energy Group at the Instituto de Sistemas Complejos de Ingeniería (ISCI). His research sits at the intersection of electricity market design, regulation, energy storage and power system resilience, with a focus on emerging markets such as Chile. He regularly advises Chile's Ministry of Energy, regulators and multilateral organisations on market and network reform, including the remuneration of storage and flexibility. He has over 20 years of experience and more than 100 publications, is an Associate Editor of IEEE Transactions on Energy Markets, Policy and Regulation, and received the 2018 Newton Prize.

Organization

This webinar is organized jointly by the CIGRE Cyprus and CIGRE Greece National Committees.

Date

Monday, October 26th, 2026
14:00 | Cyprus/Athens Timezone

Location

Online (Microsoft Teams)
[Click here to join](#)

Speaker



Prof. Rodrigo Moreno

Universidad Adolfo Ibáñez (UAI), Chile